

Menzo Sales Analysis End to end project

Business Problems for *Menzo* Sales Analytics Project

1. Sales Performance Analysis

Business Problem:

Which products are driving the most revenue and which ones are underperforming?

Why it matters:

Your father can focus on stocking high-performing items and reduce losses.

Key Questions:

- Which category sells the most? (T-shirts vs Shirts vs Lowers, etc.)
 - Which individual products generate the highest revenue?
 - What is the monthly/weekly sales trend?
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2. Customer Buying Behavior Analysis

Business Problem:

What are the purchasing patterns of customers?

Why it matters:

Helps in better targeting, bundling, and upselling.

Key Questions:

- What combinations are commonly bought together? (e.g., T-shirt + Lower)
 - Average bill value per customer?
 - Do festive items (kurtas) attract different buying patterns?
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3. Inventory Optimization Problem

Business Problem:

How can we optimize stock to avoid overstocking or stockouts?

Why it matters:

Prevents dead inventory and ensures fast-selling items are always available.

Key Questions:

- Which items remain unsold for long periods?

- Which products frequently go out of stock?
 - Ideal reorder level for each category?
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4. 📅 Seasonal & Festive Demand Analysis

Business Problem:

How do sales vary across seasons and festivals?

Why it matters:

Helps in planning inventory for peak seasons like Diwali, weddings, etc.

Key Questions:

- When do kurta sales peak?
 - Are summers better for T-shirts and lowers?
 - Month-wise demand trends for each category?
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5. 💰 Profitability Analysis

Business Problem:

Which products are actually profitable vs just high-selling?

Why it matters:

High sales ≠ high profit.

Key Questions:

- Profit margin per category/product?
 - Which items have low margin but high sales?
 - Should pricing be adjusted?
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6. 💡 Pricing Strategy Optimization

Business Problem:

Are current prices optimal for maximizing revenue?

Why it matters:

You can increase profit without necessarily increasing sales volume.

Key Questions:

- Which price ranges sell the most?

- Do discounts significantly boost sales?
 - Is there a sweet spot pricing for each category?
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7. 📄 Discount & Offer Effectiveness

Business Problem:

Do discounts actually increase revenue or just reduce profit?

Why it matters:

Avoid unnecessary discounting.

Key Questions:

- Sales during discount vs non-discount periods
 - Impact of combo offers (e.g., buy 2 get 1)
 - Which items respond best to discounts?
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8. 📌 Category Demand Analysis

Business Problem:

Which categories should be expanded or reduced?

Why it matters:

Better product mix = higher revenue.

Key Questions:

- Contribution of each category to total sales
 - Fastest growing category
 - Least performing category
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9. 🧠 Customer Retention (if you track customers)

Business Problem:

How many customers return vs new ones?

Why it matters:

Repeat customers = stable revenue.

Key Questions:

- Repeat purchase rate

- Average time between purchases
 - Top loyal customers
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10. Dead Stock Identification

Business Problem:

Which items are not selling at all?

Why it matters:

Dead stock = blocked money.

Key Questions:

- Items with zero/low sales over time
 - Time taken to sell inventory
 - Clearance strategies
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Key Business Insights

1. Payment Behavior:

Customers show a strong preference for **cash transactions**, with cash contributing the highest share of total revenue. This highlights the continued importance of offline payment methods in retail.

2. Category & Product Performance:

- **Topwear is the highest revenue-generating category**, indicating strong demand.
 - The **top 5 selling products** are *Kurta, Shirt, Lowers, Caps, and T-shirts*, suggesting these should be prioritized for inventory planning.
 - **Undergarments are the least selling category**, indicating lower demand or potential need for repositioning.
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3. Pricing Strategy Insight:

High-priced products contribute the most to revenue, indicating that customers are willing to spend more on premium items.

4. Seasonal Sales Trend:

Revenue shows a clear peak in **March**, with a sharp increase from February and a decline after April, indicating seasonal demand patterns.

5. Profitability Insight:

Wallets generate the least profit, highlighting a potential need to revisit pricing or stocking strategy.

6. Discount Effectiveness:

Revenue distribution remains **consistent across all discount levels**, indicating that discounts do not significantly influence sales performance.

7. Correlation Analysis:

- **Revenue and Profit are highly correlated (0.95)**, showing that increased sales directly drive profitability.
- **Discount has minimal correlation with other variables**, reinforcing that pricing and quantity are the primary drivers of performance.